

SECTION A – CASE QUESTIONS (Total: 50 marks)

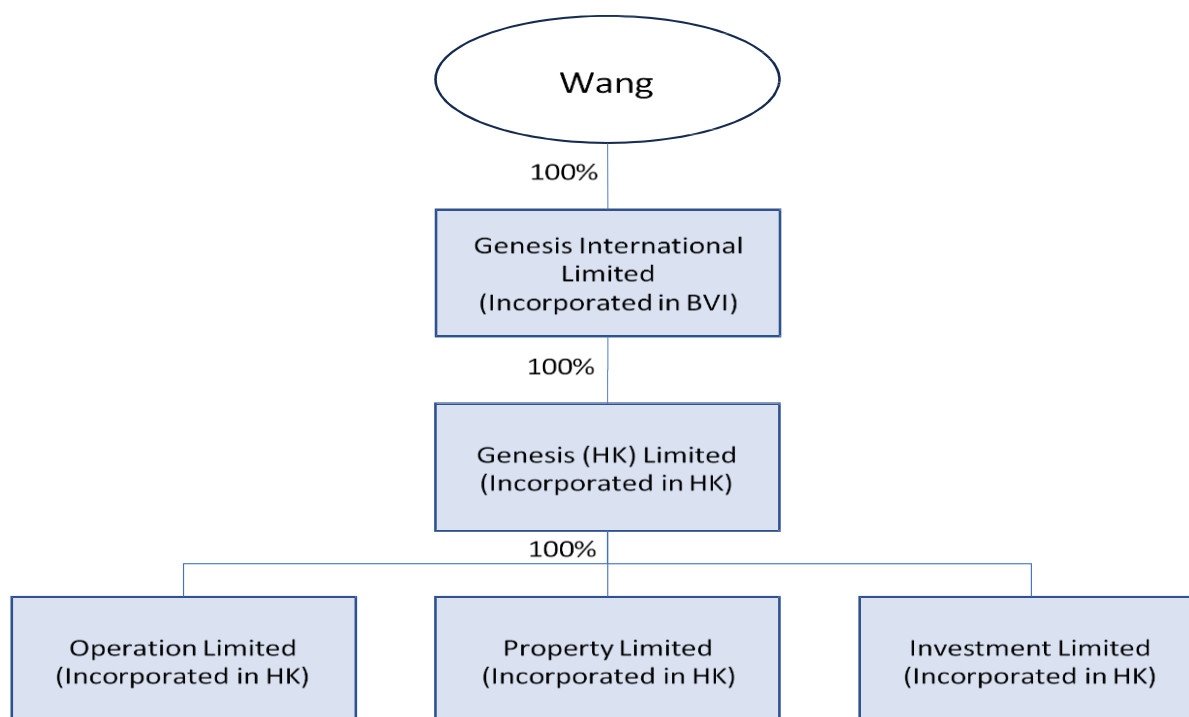
Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Peter is a Hong Kong resident, 30 years old and is an experienced investor in a start-up business focusing on Artificial Intelligence ("AI") related research and development. In an AI technology forum held in Hong Kong, Peter met Wang, who is the beneficial owner of the Genesis Group, which conducts scientific Research and Development ("R&D") projects at Hong Kong Science and Technology Park relating to humanoid robots.

Specifically, the R&D projects involve the application of research findings in the fields of AI and biomedical engineering in the design of humanoid robots that can replace physicians and nurses in hospitals. This concept is innovative and seeks to achieve an advance in science and technology that, if successful, may change the landscape of the medical sector. There are no similar products in the market currently.

The following chart sets out the group structure of the Genesis Group:



Wang is a Chinese national permanently residing in Shenzhen, and he is a passive investor providing capital funding to the Genesis Group only. The control and management of the Genesis Group is exercised by a team of scientists based in Hong Kong (see below).

Genesis International Limited and Genesis (HK) Limited are pure equity investment holding companies that do not have any operations.

Operation Limited conducts R&D activities in Hong Kong only by employing a team of scientists who have graduated from universities in Hong Kong, and any technologies developed are patented and beneficially owned by Operation Limited.

Property Limited owns a residential unit in Hong Kong, currently leased to Operation Limited for use as staff quarters for the office manager.

Investment Limited owns 20% shareholding in a start-up company A-Co in the field of biomedical science research also located at Hong Kong Science and Technology Park. The share is an ordinary share in a Hong Kong company acquired through series A funding arranged in Hong Kong.

Shortly after the forum, Peter indicated to Wang that he has a strong interest in acquiring the Genesis Group. A due diligence was conducted by a financial advisor appointed by Peter that revealed the following further information:

- (1) No dividend has ever been declared/ distributed by any of the Genesis Group's companies since commencement of business.
- (2) Operation Limited's income statement for the year ended 31 December 2023:

	HK\$	HK\$
Proceeds from disposal of a patent right (Note 1)		53,000,000
Royalty (net) from licensing of patent rights (Note 2)		<u>45,000,000</u>
		98,000,000
Salaries of R&D team	12,000,000	
Accounting depreciation	10,000,000	
Rent for laboratory and equipment		
and administrative expense (Note 3)	<u>6,000,000</u>	
		(28,000,000)
Profit before tax		<u><u>70,000,000</u></u>

Note 1: Operation Limited developed and owns over 50 patent rights, which are all held for long-term investment purposes for generating royalty income. The company reluctantly disposed of this patent right under a court order after losing an infringement lawsuit. R&D expenditure incurred for this patent right was HK\$3,000,000 and "Type B expenditure" enhanced tax deduction under s.16B of the Inland Revenue Ordinance ("IRO") was claimed and allowed under the Inland Revenue Department ("IRD")'s assess first audit later practice (i.e. no specific review and confirmation from the IRD yet).

Note 2: The royalty is received from several third-party licensees located in Country S under 6-month licensing contracts for use of patent rights wholly outside Hong Kong. The amount is net of withholding tax of HK\$5,000,000 (being 10% at the gross royalty income of HK\$50,000,000) paid in Country S. There is no tax treaty between Hong Kong and Country S.

Note 3: The laboratory and equipment leases are non-transferable. Administrative expenses include the salaries of the office manager.

- (3) Property Limited received a nominal rent from Operation Limited of HK\$100 for the year ended 31 December 2023, yet it claimed an annual commercial building allowance of HK\$400,000. The residential unit was purchased at a historical cost of HK\$20,000,000, and the market value is now HK\$100,000,000. The IRD has issued an inquiry letter asking for the current usage of the residential unit, and the reply is still under preparation.

- (4) Investment Limited purchased the share in A-Co three years ago for HK\$5,000,000. The other angel investors have currently offered cash of HK\$50,000,000 to purchase the share in A-Co from Investment Limited. Wang has indicated no interest in selling the share in A-Co as his plan is to hold the share for long-term investment.

The deal value is mutually agreed to be HK\$400 million. The financial advisor has proposed the following options for consideration by Peter:

- Option 1 – Peter establishes a wholly owned Hong Kong company, namely Origin (HK) Limited, to acquire all the business assets held by Operation Limited, Property Limited and Investment Limited, at market value. Any difference between the deal value of HK\$400 million and the identified market value of the business assets will be attributed to patent rights owned by Operation Limited.
- Option 2 – Peter personally acquires all the shares in Genesis (HK) Limited.

If the deal is proceeded, either under Option 1 or Option 2, the disposal gains will be repatriated up to Genesis International Limited and then distributed to Wang by way of dividend.

You are a tax manager of an international accounting firm. You received a service request from Peter for a post-acquisition restructuring tax advisory service. Peter would like to have the engagement letter as soon as possible so the professional work can commence immediately after the sale and purchase agreement is signed.

Question 1 (18 marks – approximately 32 minutes)

- (a) Based on the facts provided in the case, analyse whether the salaries of the R&D team of HK\$12,000,000 incurred by Operation Limited qualify for "Type B expenditure" enhanced tax deduction under Hong Kong profits tax in light of the relevant provisions of the IRO and the IRD's practice.

(6 marks)

- (b) Explain the tax treatment for the proceeds from disposal of patent right of HK\$53,000,000 received by Operation Limited in light of the relevant provisions of the IRO and the IRD's practice.

Note: No calculation is required.

(4 marks)

- (c) Compute the assessable profits of Operation Limited under Hong Kong profits tax for the year of assessment 2023/24. You should consider the following assumptions:

- Salaries of the R&D team is eligible for "Type B expenditure" enhanced tax deduction; and
- Tax depreciation allowance for the year of assessment 2023/24 is HK\$9,000,000.

Explain your tax treatment for the HK\$5,000,000 withholding tax deducted and paid in Country S.

(8 marks)

Question 2 (11 marks – approximately 20 minutes)

In relation to **Option 1** proposed by the financial advisor:

- (a) Based on the facts provided in the case, set out the business assets such as fixed assets, customer contracts, employee contracts, service contracts, etc. (limited to TWO items and exclude patent right) of Operation Limited that will be transferred across.

Briefly explain the Hong Kong tax implications (if any) to Operation Limited arising from the TWO transfers you mentioned.

Note: No calculation is required. You should ignore transfer pricing implications, if any.

(4 marks)

- (b) From a tax depreciation perspective, advise the Hong Kong profits tax implications to Property Limited arising from the transfer of its residential unit.

Note: No calculation is required.

(3 marks)

- (c) In light of the Tax Certainty Enhancement Scheme of the IRD, advise the Hong Kong profits tax implications arising from transfer of the share in A-Co owned by Investment Limited.

Note: No calculation is required.

(4 marks)

Question 3 (9 marks – approximately 16 minutes)

In relation to **Option 2** proposed by the financial advisor:

- (a) Identify TWO tax risk areas where the IRD may make tax adjustments resulting in tax undercharged in prior years and back duty.

Briefly advise how the above tax risks will impact the evaluation of Option 2.

(4 marks)

- (b) Advise on the China tax implications to Wang if the disposal gains earned by Genesis International Limited is distributed to him in the form of dividends.

(5 marks)

Question 4 (12 marks – approximately 22 minutes)

- (a) Summarise in a table format the total Hong Kong stamp duty payable under Option 1 versus Option 2. Suggest how Option 2 can be modified to mitigate the Hong Kong stamp duty payable for this acquisition.

Suggest TWO tax advantages if the acquisition is conducted through Option 1 from the perspective of Peter.

Note: No calculation is required.

(8 marks)

- (b) In the context of the HKICPA Code of Ethics in s.600: Ethics in Tax Practice, advise TWO issues you would like to discuss with the engagement partner before acceptance of the tax advisory engagement with Peter.

(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (14 marks – approximately 25 minutes)

David was employed by Flow Yoga Limited ("FYL"), a listed company carrying on business in Hong Kong, as a senior sales manager since April 2018. David's terms of employment with FYL included the following three tranches of share options granted by his employer:

Tranche	Grant date	No. of shares	Exercise price per share	Condition
A	31/05/2020	40,000	HK\$2	David needs to be still employed by FYL on 31/05/2022
B	30/11/2022	10,000	HK\$3	Nil
C	30/11/2023	15,000	HK\$3	Nil

On 15 June 2022, David exercised all the share options vested in respect of Tranche A and paid HK\$5,000 brokerage fee associated with the vesting of shares.

On 15 December 2022, for Tranche B, David assigned 1/2 of the share option to his colleague at a consideration of HK\$50,000, whilst on 31 May 2023, the other 1/2 of the share option was released back to FYL at a consideration of HK\$60,000.

David resigned and left FYL on 31 January 2024. He exercised all of the share options in respect of Tranche C on 15 April 2024, and subsequently disposed of all the shares obtained from exercising the share options on 30 April 2024.

To develop the business market in Asia, David was stationed in India during the year of assessment 2020/21 and did not render any services in Hong Kong. He stayed and rendered services in Hong Kong for more than 60 days during each of the years of assessment from 2021/22 to 2024/25.

The closing prices of FYL's shares on the relevant dates were as follows:

Date	Price (HK\$)	Date	Price (HK\$)
31/05/2020	10.0	31/05/2023	14.0
31/05/2022	12.0	30/11/2023	12.8
15/06/2022	13.0	31/01/2024	13.5
30/11/2022	15.0	15/04/2024	13.8
15/12/2022	14.5	30/04/2024	14.0

Required:

With reference to the relevant provisions of the IRO and practice notes, explain the tax treatment and compute, where applicable, the assessable income of David attributable to Tranches A to C for the relevant years of assessment.

You should assume David's employment with FYL is a Hong Kong employment.

(14 marks)

Question 6 (16 marks – approximately 29 minutes)

Mr Au was employed by H Limited as a financial controller. During the year of assessment 2023/24, he received the following from H Limited:

- (i) monthly salary of HK\$150,000;
- (ii) a special bonus of HK\$200,000 on 31 December 2023;
- (iii) monthly rental refund of HK\$21,000 in relation to Apartment Y where Mr Au rented at a monthly rent of HK\$30,000 from the landlord as his place of residence in Hong Kong. Pursuant to employment contract, Mr Au is entitled to rental refund of not exceeding 14% of his monthly salary. He would not receive the refund unless he could provide a stamped tenancy agreement and rental receipts to H Limited; and
- (iv) reimbursement of dining expenses with customers totaling HK\$9,000. It is H Limited's policy that reimbursement of dining expenses would be approved only if valid bills, name of customers, specific business transactions discussed or negotiated during the occasion the expenses were incurred could be provided to H Limited. To discharge his duties, Mr Au attended several commercial meetings or dinner to entertain clients for striking business deals.

Other information regarding Mr Au for the year of assessment 2023/24:

- He contributed HK\$1,500 per month to a recognised mandatory provident fund scheme;
- He paid HK\$2,300 annual membership fee to an overseas professional accountancy body to maintain his accountant's qualification in Australia; and
- His wife is a housewife with no income source. They had their newborn baby during the year.

Required:

- (a) With reference to the relevant provisions of the IRO and legal principles, in the context of salaries tax,
 - (i) explain the tax treatment for Item (iii) and compute the amount to be included in Mr Au's income chargeable to salaries tax for the year of assessment 2023/24.
(4 marks)
 - (ii) explain the tax treatment for Item (iv).
(2 marks)
- (b) Compute salaries tax liabilities for Mr Au for the years of assessment 2023/24 and 2024/25 (provisional tax).
(10 marks)

Question 7 (10 marks – approximately 18 minutes)

Mr Tam has a sister named Rebecca, who was born in April 1973. Rebecca got married in 1997 and divorced in 2000. She has become severely mentally impaired and has lived with their parents in Taiwan since 2005. Since 2009, she has also been wheelchair bound. She has never been to Hong Kong.

Mr Tam had a full-time employment and worked in Hong Kong. He visited Rebecca and their parents in Taiwan every year and stayed there for around 5 days each time. He also talked to Rebecca on the phone weekly and financially supported her daily and medical expenses. Rebecca was receiving disability living allowance in Taiwan but she has not claimed any allowance under the Government's Disability Allowance Scheme in Hong Kong.

Required:

Assume you are Janet Chan, and Mr Tam has engaged you as his tax advisor. With reference to the relevant provisions of the IRO and legal principles, write a tax advisory letter to Mr Tam to advise whether he can be granted the following allowances under salaries tax for the year of assessment 2023/24:

- (a) Dependent brother or dependent sister allowance in respect of Rebecca.**
- (b) Disabled dependent allowance in respect of Rebecca.**

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.

(10 marks)

Question 8 (10 marks – approximately 18 minutes)

Company A and Company B were both companies incorporated in Hong Kong. Company A and Company B became wholly owned subsidiaries of Company H on 1 April 2021 and 1 April 2022, respectively. Both Company A and Company B were engaged in trading of sports products, but the former sold products to customers in the Southeast Asia Pacific region whilst the latter sold products in Europe.

In order to enhance management and operational efficiency and to reduce costs, on 1 July 2023, Company A and Company B amalgamated in accordance with s.681 of the Companies Ordinance. Company B became the amalgamated company. Both Company A and Company B closed their accounts on 31 March.

Company A had the following tax losses prior to the amalgamation:

	HK\$
Year ended 31/03/2021	500,000
Year ended 31/03/2022	800,000
Year ended 31/03/2023	1,000,000
3 months ended 30/06/2023	600,000

Required:

With reference to the relevant provisions of the IRO and practice notes:

- (a) Advise on the tax obligations of Company B in respect of the amalgamation. (3 marks)
- (b) Analyse whether the tax losses of Company A can be used to set off against the assessable profits of Company B. If so, advise the amount of tax losses of Company A that can be used to set off against the assessable profits of Company B. (7 marks)

* * * END OF EXAMINATION PAPER * * *